

The first term in equation (4.16) is the average value of the short-run weight in equation (4.14):

$$\text{Long-Run Myopic Weight} = \frac{1}{\gamma} \frac{\bar{\mu} - \bar{r}_f}{\bar{\sigma}^2}, \quad (4.17)$$

where the mean and volatility of the asset are at steady state levels denoted by bars above each variable. This can be interpreted as the equivalent of the constant rebalancing weight in the i.i.d. case.

The short-run weight represents tactical asset allocation and is how a short-run investor responds to changing means and volatilities. Tactical asset allocation then comprises the constant rebalancing weight plus a temporary deviation from the rebalancing rule (the first two terms in equation (4.16)).

Strategic asset allocation is the long-run weight and is the sum of the long-run fixed weight, tactical asset allocation, and the opportunistic weight. It is the optimal strategy for a long-term investor.¹⁸ As expected from the dynamic programming solution to long-term portfolio choice, long-run investors do everything that short-run investors do (tactical asset allocation), plus they can act opportunistically in a manner that their short-run cousins cannot. Thus, strategic asset allocation is the sum of all three terms in equation (4.16).

Characterizing Long-Run Opportunistic Portfolios

Computing the precise form of the long-run opportunistic portfolio can be difficult.¹⁹ But insight can be obtained on opportunistic weights without wading through rocket science. There are two determinants of the opportunistic weight. The first is investor specific. Just like the myopic portfolio weight depends on the risk tolerance of an investor so does the opportunistic portfolio. But now the investor's horizon plays a role. Second, the opportunistic weights depend on asset-specific properties of how returns vary through time. The interaction between the investor's horizon and the time-varying asset return properties is crucial. This makes sense: an asset that has a low return today but will mean-revert gradually back over many years to a high level is unattractive to someone with a short horizon. Only a long-horizon investor can afford the luxury of waiting. Similarly, some assets or strategies can be very noisy in the short run, but over the long run volatility mean-reverts, and the risk premiums of these assets

¹⁸ The term "strategic asset allocation" is much abused in the industry and is often used as an excuse not to rebalance to long-run asset weights. The term itself was introduced by Brennan, Schwartz, and Lagnado (1997).

¹⁹ You might need to hire a rocket scientist after all to compute long-term portfolio weights. See Campbell and Viceira (2002), Brandt (2009), Avramov and Zhou (2010), and Wachter (2010) for literature summaries. The highly technical reader is encouraged to look at Duffie (2001). Cochrane (2013a) shows that you can avoid computing intertemporal hedging demands if you stick to long-term payoffs, but this does not necessarily help if the long-term payoffs are not directly traded.